

(18%) to over a third in bull markets (38%). That makes intuitive sense because the bear market trend will help take price lower. It reminds me of watching a barge move down river. The water level drops near shore and gets all churned up. As a kid, I was afraid I'd be pulled under while swimming or even canoeing (even though the barge was across the river, about a quarter mile away).

Busted occurrence. Single busts happened most often followed by triple busts. While you may find that odd (that double busts don't come in second), you join me in my confusion. I've seen this trend in other pattern types and don't have an explanation for why it happens. A double bust would send price lower (that is, the first bust sends price upward and the second bust turns price downward), if that is any help.

Busted and non-busted performance. Grouping single, double, and three or more busts together sees price rise 38% after busted downward breakouts in bull markets. Separating out single busts, we see price rise an average of 55% in bull markets (that's measured from the top of the big M to the ultimate high). That's a nice return if you can capture most of it.

I used big Ws as a proxy for a non-busted big M. They don't see price perform as well as their busted sisters.

If you can find a busted big M, buy it and pray that price continues rising for a long time (a single bust). The 55% rise compares to a 46% average gain for big Ws (which break out upward). See the table for bear market results.

Trading Tactics

[Table 6.10](#) shows trading tactics for the big M pattern.

Measure rule, targets. I'll give an example of how to use the measure rule for big Ms in the sample trade. Use the measure rule to help gauge how far price will drop after the breakout. The rule is no guarantee that price will reach the target.

The bottom portion of [Table 6.10](#) shows how often price drops to various pattern heights. For example, using the full height in the measure rule